Figure 1. Turkey Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

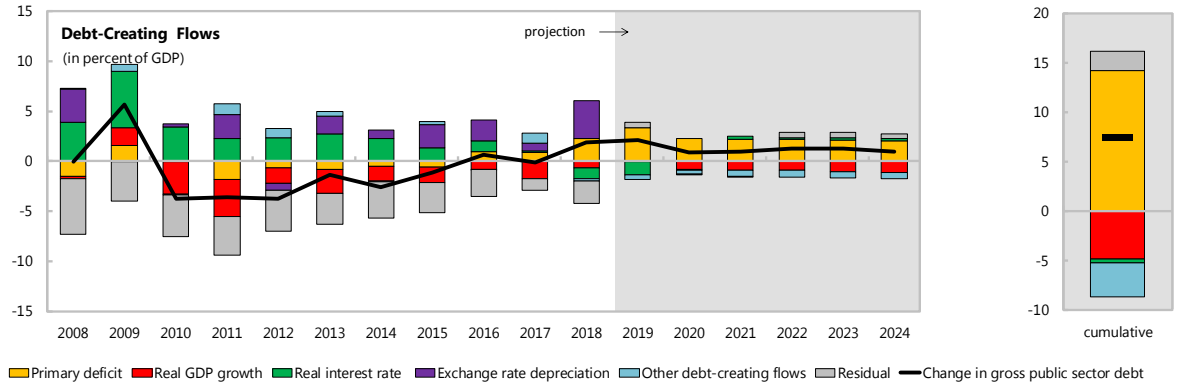
(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections						As of November 13, 2019		
	2008-2016 2/	2017	2018	2019	2020	2021	2022	2023	2024	Sovereign Spreads		
Nominal gross public debt	34.2	28.2	30.1	32.2	33.1	34.1	35.4	36.6	37.6	EMBIG (bp) 3/		415
Public gross financing needs	9.9	5.0	6.5	7.5	9.2	10.2	10.4	10.6	10.0	5Y CDS (bp)		316
Real GDP growth (in percent)	4.8	7.5	2.8	0.2	3.0	3.0	3.0	3.5	3.5	Ratings	Foreign	Local
Inflation (GDP deflator, in percent)	7.7	11.0	16.4	14.4	11.8	11.6	10.9	10.8	11.0	Moody's	B1	B1
Nominal GDP growth (in percent)	12.9	19.2	19.7	14.7	15.1	15.0	14.3	14.7	14.9	S&Ps	B+	BB-
Effective interest rate (in percent) [4/]	10.8	8.1	9.0	9.6	11.9	13.1	12.0	11.9	12.0	Fitch	BB-	BB-

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016 2/	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-1.1	-0.1	1.9	2.1	0.9	1.0	1.3	1.2	1.0	7.5	
Identified debt-creating flows	2.7	1.0	4.1	1.6	1.0	1.0	0.8	0.7	0.5	5.5	
Primary deficit	-0.4	0.9	2.3	3.4	2.3	2.2	2.2	2.1	2.1	14.2	-1.5
Primary (noninterest) revenue and grants	31.6	30.8	30.6	28.8	29.2	29.3	29.3	29.3	29.4	175.2	
Primary (noninterest) expenditure	31.3	31.7	32.8	32.2	31.5	31.5	31.4	31.4	31.4	189.5	
Automatic debt dynamics [5/]	2.7	-0.8	2.1	-1.3	-0.9	-0.6	-0.7	-0.8	-0.9	-5.3	
Interest rate/growth differential [6/]	1.3	-1.6	-1.8	-1.3	-0.9	-0.6	-0.7	-0.8	-0.9	-5.3	
Of which: real interest rate	2.8	0.2	-1.1	-1.3	-0.1	0.3	0.2	0.2	0.2	-0.4	
Of which: real GDP growth	-1.5	-1.8	-0.7	-0.1	-0.8	-0.9	-0.9	-1.1	-1.1	-4.9	
Exchange rate depreciation [7/]	1.4	0.8	3.8	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.4	1.0	-0.2	-0.5	-0.4	-0.7	-0.7	-0.6	-0.6	-3.4	
General Government: Net Privatization Proceeds (negative)	-0.5	-0.4	-0.2	-2.0	-1.2	-1.0	-1.0	-0.9	-0.9	-7.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
General Government: Financing: Net Acquisition of Financial Assets	0.8	1.4	0.0	1.6	0.8	0.3	0.3	0.3	0.3	3.6	
Residual, including asset changes [8/]	-3.8	-1.1	-2.2	0.5	-0.1	0.0	0.5	0.6	0.5	1.9	



Source: IMF staff.

1/ Public sector is defined as General Government.

2/ Based on available data.

3/ Long-term bond spread over U.S. bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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